THE

ANNOUNCEMENT ROOM

EQUITY RESEARCH FOR BUSY INVESTORS. WHAT HAPPENED. WHY IT MATTERS. WHAT COMES NEXT.

NATIONAL AUSTRALIA BANK LIMITED (ASX: NAB) FY26 RESULTS, YEAR TO 30 SEPTEMBER 2026 · A$

NAB's profit growth was absorbed by a sharp rise in credit charges

NAB reported FY26 cash earnings of A$6,141m, down 13.4%. Excluding a one-off software charge, cash earnings were flat at A$7,090m. Underlying profit grew 6.9% on that basis, but the credit impairment charge rose 85.7% to A$1,547m and took most of the gain.

6.9%

Underlying profit growth ex LNI
A$11,722m vs A$10,965m (TAR calculation)

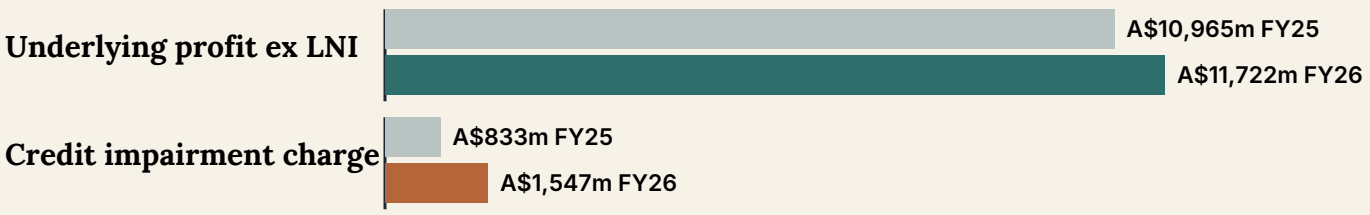
A$1,547m

Credit impairment charge
Up 85.7% from A$833m

Flat

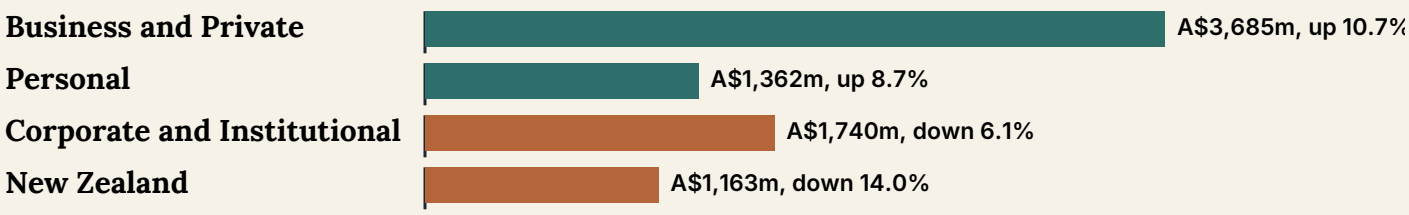
Cash earnings ex LNI
A$7,090m vs A$7,091m. Reported: A$6,141m, down 13.4%

WHERE THE EXTRA PROFIT WENT



Underlying profit ex LNI rose A$757m. The credit charge rose A$714m. Cash earnings before tax ex LNI (underlying profit less the credit charge) were A$10,175m against A$10,132m (TAR calculation).

CASH EARNINGS EX LNI BY DIVISION, FY26 (CHANGE VS FY25)



THE ONE-OFF ITEM

In 1H26 NAB changed its software capitalisation policy. This created a large notable item (LNI) of A$1,347m before tax (A$949m after tax), booked as accelerated amortisation. Headline cash earnings include it. The "ex LNI" figures exclude it, so both views matter.

FY26 AT A GLANCE

Revenue A$22,014m, up 5.8%
Operating expenses ex LNI A$10,292m, up 4.5%
Net interest margin 1.80%, up 6 basis points
Final dividend 85 cps, 170 cps for the year (unchanged)

WHAT THE COMPANY DOES

NAB is an Australian and New Zealand bank. Its divisions are Business and Private Banking, Personal Banking, Corporate and Institutional Banking, and New Zealand Banking.

Sources: NAB ASX announcements: 2026 Full Year Results Summary, Appendix 4E, Management Discussion and Analysis and Investor Presentation (released 5 Nov 2026); NAB simplifying operating model (20 Oct 2026); 2025 Full Year Results Summary (6 Nov 2025); 2026 Half Year Results Summary (4 May 2026). Cash earnings is a non-IFRS measure. TAR calculations use reported figures. Share-price data is not included.

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WHY IT MATTERS AND WHAT COMES NEXT

Credit costs, not the franchise, drove the result

REPORTED VERSUS EX LNI (CASH EARNINGS)



WHERE THE A$1,547M CAME FROM

Individually assessed: A$1,083m (FY25: A$964m)
Collective provisions: A$464m charge (FY25: A$131m release)
Of which net rise in forward-looking provisions: A$403m
Underlying collective charge: A$61m

The A$714m rise is A$119m higher individually assessed charges plus a A$595m swing in collective provisions (TAR calculation).

CAPITAL AND DIVIDEND

CET1 ratio 11.87% at 30 Sep 2026, up 17 bps from 11.70% a year earlier. NAB's operating target is above 11.25%. The pro forma 12.07% adds about 20 bps NAB expects from the 1.5% discount on the final dividend reinvestment plan (DRP). It is expected, not yet achieved. Final dividend 85 cps, fully franked.

NAB'S STATED EXPECTATIONS (NOT RESULTS)

FY27 underlying cost growth below 3%, excluding higher restructuring charges and the software capitalisation policy change. Restructuring charge of about A$300m pre-tax in FY27 (about A$80m in each of FY25 and FY26), with up to 2,500 roles (about 6%) to go in FY27. NAB also forecasts Australian business lending system growth easing from 11.5% in FY26 to 8% in FY27. That is a market forecast, not NAB guidance.

WHAT TO WATCH

Credit charges
Individually assessed charges came mainly from business lending customers. Non-performing exposures were 1.56% of gross loans, up 1 bp.

FY27 costs
Whether underlying cost growth lands below 3% once the A$300m restructuring charge is booked in 1Q27.

Capital
Whether DRP take-up delivers the expected 20 bps and lifts CET1 toward the 12.07% pro forma figure.

Business lending
NAB grew Australian business lending 9.8% in FY26 and expects system growth to ease in FY27.

TAR TAKE

NAB grew revenue 5.8% and underlying profit 6.9% ex LNI, kept the dividend at 170 cps and lifted CET1. Against that, higher credit charges absorbed nearly all the profit gain, and reported cash earnings fell 13.4% after the one-off software charge. The next test is whether credit costs settle, whether cost growth lands below 3%, and whether the FY27 restructuring delivers the savings NAB is aiming for. TAR interpretation, not a forecast.

Sources: NAB 2026 Full Year Results Summary and Investor Presentation (5 Nov 2026); NAB simplifying operating model (20 Oct 2026); 2025 Full Year Results Summary (6 Nov 2025), used for FY25 credit charge components; 2026 Annual Report and September 2026 Pillar 3 Report (5 Nov 2026), used to cross-check CET1 and post balance date events. Restructuring and DRP figures are NAB expectations, not results. TAR calculations use reported figures.

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